



Before the
Federal Maritime Commission

Docket No. 24-16

Samsung Electronics America, Inc.

v.

COSCO Shipping Lines Co. Ltd.

v.

Samsung Electronics Company, Ltd., Samsung SDS Global SCL Asia Pacific PTE LTD,
and Samsung Electronics Logitech Company, Limited

COSCO'S VERIFIED THIRD-PARTY COMPLAINT

Third-Party Complainant COSCO Shipping Lines Co., Ltd. ("Third-Party Complainant" or "COSCO"), by its undersigned attorneys, files this Verified Third-Party Complaint against Third-Party Respondents, alleging violations of the Shipping Act of 1984, 46 U.S.C. § 40101, *et seq.* (the "Shipping Act") as follows:

I. PARTIES

1. Third-Party Complainant COSCO is a corporation organized and existing under the laws of the People's Republic of China, with its corporate office at No. 378, Dong Da Ming Road, Shanghai, China. It is a vessel-operating "ocean common carrier" as that term is defined by 46 U.S.C. § 40102(7) and (18).

2. Upon information and belief, Third-Party Respondent Samsung Electronics Company, Inc. ("Samsung Electronics" or "SEC") is a corporation organized and existing under the laws of the Republic of Korea, with a principal place of business located at. 129, Samseong-ro, Suwon-si, Gyeonggi-do (Maetan-dong), Seoul, 16677, Republic of Korea.

3. Upon information and belief, Third-Party Respondent Samsung SDS Global SCL Asia Pacific PTE LTD (“Samsung SDSAP”) is a corporation organized and existing under the laws of the Republic of Singapore, with its principal place of business located at #07-32 Mapletree Business City, 30 Pasir Panjang Road, Singapore 117440, Singapore, and is a wholly owned subsidiary of SEC.

4. Upon information and belief, Third-Party Respondent Samsung Electronics Logitech Company Limited (“Samsung Logitech”) is a corporation organized and existing under the laws of the Republic of Korea, with its principal place of business located at 401 Shin-dong, Youngtong-gu, Suwon, Kyonggi-do, Republic of Korea, and is a wholly owned subsidiary of SEC.

5. SEC, Samsung SDSAP, and Samsung Logitech may be referred to collectively herein as Third-Party Respondents or Samsung and Samsung SDSAP and Samsung Logitech may be referred to as Contract Signatories.

6. Upon information and belief, Samsung Electronics America, Inc, (“SEA”) is a wholly owned subsidiary and agent of SEC and acted in concert with Third-Party Respondents.

II. JURISDICTION

7. The Federal Maritime Commission (“FMC” or “Commission”) has jurisdiction over this proceeding pursuant to the Shipping Act, including 46 U.S.C. § 41301 and § 41102(a).

8. Each of the Third-Party Respondents is a “person” as that term is used in 46 U.S.C. § 41102(a), which provides the FMC with both subject matter jurisdiction and personal jurisdiction over Third-Party Respondents.

III. FACTUAL ALLEGATIONS

A. Samsung's Request for Quotations

9. In 2021 and 2022, SEC invited COSCO, among other ocean common carriers, to submit proposals for the transport of SEC's cargoes, and transmitted documents to COSCO entitled "2021 RFQ for Ocean Freight" and "2022 RFQ for Ocean Freight" (collectively, the "Samsung RFQs"), which described the terms and conditions Samsung sought from carriers with whom it would execute an annual contract.

10. The Samsung RFQs requested bids for the carriage of SEC's cargo from foreign locations to be delivered: (i) at North American ports ("Container Yard" or "CY" delivery terms) and also (ii) to certain inland locations in the United States ("store door" or "SDD" delivery terms).

11. Samsung's RFQs required bidders, including COSCO, to propose rates using drayage truckers nominated by SEC (or its affiliate) for the final intermodal movement of the loaded container to the point of delivery designated by Samsung or SEA.

12. Each of the 2021 and 2022 RFQs contained a paragraph 6, captioned "Customer Service," which stated as follows:

Preferred Trucker & Delivery

- Carriers are required to provide local delivery service with consignee's preferred trucker if any. (CNT = Customer Nominated Trucker)

B. The Service Contracts

13. Upon information and belief, based on the RFQ process and COSCO's successful bids, SEC instructed two of its wholly owned subsidiaries (the other two Third-Party Respondents) to enter into service contracts with COSCO.

14. For cargo originating in South Korea and destined for North America (including the United States, Mexico, and Canada), Service Contracts GKU21005 (for 2021) and GKU22005 (for 2022) were signed by Kihwan Jung, Chief Executive Officer, on behalf of Samsung Logitech

15. Service Contracts GKU21005 and GKU22005 were filed with the Federal Maritime Commission, in accordance with 46 C.F.R. § 530.8.

16. For cargo originating from both South Korea and other Asian origins to North America (the United States, Mexico, and Canada), Service Contracts GKU21006 (for 2021) and GKU22006 (for 2022) were signed by Dennis Sung Kyun Ahn, President, on behalf of SDSAP.

17. Service Contracts GKU21006 and GKU22006¹ were filed with the Federal Maritime Commission in accordance with 46 C.F.R. § 530.8.

18. The Service Contracts included rates for both CY and SDD deliveries in North America.

19. Clause 4 of each of the Service Contracts provided that COSCO was to collect *per diem* (demurrage and detention) charges from SEA.

C. COSCO's Performance Under the Service Contracts

20. Each of the Service Contract specified rates for the carriage of SEC's goods from various ports in Asia to various ports and points in North America.

21. SEA appeared as consignee on sea waybills issued under the Service Contracts.

22. Some of the shipments of SEC's cargo carried by COSCO under the Service Contracts moved pursuant to sea waybills specifying that delivery was to be made on a CY/CY

¹ GKU21005, GKU22005, GKU21006 and GKU22006 are collectively referred to herein as the "Service Contracts."

basis from an origin port to a container yard in North America, meaning they were to be delivered by COSCO and received by Third-Party Respondents or SEA at a container yard in North America.

23. Other shipments of SEC's cargo carried by COSCO under the Service Contracts moved pursuant to sea waybills specifying delivery was to be made CY/SDD from an origin port to an inland location in North America.

24. Because the origin was always a foreign port, COSCO refers to the two types of moves as CY and SDD, respectively.

25. The sea waybills issued by COSCO showing SEA as consignee included provisions making SEA responsible for taking timely delivery of the goods and, if SEA refused to take timely delivery, that it is liable for any loss, damage, expense or liability incurred by COSCO arising from such a refusal.

26. The sea waybills issued by COSCO showing SEA as consignee included provisions making SEA responsible for the return of empty containers and liable for any detention, demurrage, loss, or expense arising from non-return of COSCO's containers.

27. For SDD, the carrier's freight rate includes the basic rate for both ocean transportation and inland delivery by rail and/or truck, subject to conditions set forth in the applicable service contract and tariffs.

28. For the final leg of the carriage, trucking from the marine terminal or rail container yard, shippers and carriers may agree to use either a drayage trucker selected by the ocean carrier ("house trucker") or a drayage trucker selected by the consignee ("customer-nominated trucker" or "CNT").

29. For SDD moves under the Service Contracts COSCO used a CNT chosen by SEA to perform the trucking to the final destination, as required by Samsung.

30. For store door deliveries involving a CNT, COSCO agreed to pay the CNT for the basic transportation cost (at an approved level).

31. For store door deliveries involving a CNT, COSCO specifically did not offer or agree to be responsible for any other cost or charges associated with the CNT (other than chassis rental during free time), which remained the responsibility of the shipper or its affiliate (here Third-Party Respondents and/or SEA).

32. For store door deliveries involving a CNT, COSCO contracted with the CNT as agent for a disclosed principal (Third-Party Respondents and/or SEA). Accordingly, the drayage contract was between the CNT on the one hand and COSCO's principal -- the Third-Party Respondents and/or SEA -- on the other hand.

33. COSCO was not a party to the drayage contract between the CNT and Respondents and/or SEA.

34. Before COSCO agrees to use a particular CNT as requested by the shipper, it requires that the shipper/consignee submit a "CNT Application."

35. SEC, through its agents, affiliates, and consignees, completed COSCO's CNT Application.

36. COSCO's standard CNT Application states, "[t]his application is for customer request to utilize their preferred trucker for a COSCO door point."

37. The CNT Application also provided specifics as to how the final delivery was to be accomplished.

38. The CNT Application specified that the consignee (SEA), not COSCO, was responsible for arranging the final delivery of the cargo from the container yard or marine terminal to SEA's warehouse or other final destination with SEA's designated CNT.

39. The CNT Application stated,

- a. "The contract of carriage for inland transportation shall be deemed to be between the trucker and shipper, or owner of the cargo (dispatching, tracing, operations, etc).";
- b. "The CNT will be employed by the Shipper or the owner of the cargo, NOT CARRIER."; and
- c. "All pick-up #'s must be requested before LFD [last free day] as COSCO is NOT responsible for storage under CNT Agreement."

40. The CNT Application further specified that COSCO would create a container trucking job order in order to accomplish payment of the basic cost of the drayage (but not other costs/charges) directly to SEA's CNT.

41. COSCO Tariff Rule 201-002-064, Store Door Delivery/Pick Up Service, published on March 5, 2018, and effective on April 3, 2018, and throughout the period covered by the SEA Complaint, states the following with respect to CNTs:

When a customer nominated trucker (CNT) is used at the request of Shipper (or any other interest to the cargo) for store door delivery to a cargo receiver then, notwithstanding anything to the contrary in the bill of lading issued for that shipment, the following terms and conditions shall apply:

1. Carrier will act as agent of Shipper for purposes of arranging the trucking, and the contract of carriage for inland transportation shall be deemed to be between the trucker and Shipper or the owner of the cargo. The CNT will be employed by the Shipper or the owner of the cargo, not Carrier, even though Carrier's rates are inclusive of door delivery. Carrier shall pay the CNT only as agent for Shipper.

2. For purposes of U.S. COGSA and/or applicable law governing carriage of goods by Carrier, delivery to the Shipper will occur when the cargo is interchanged to the CNT.

3. Carrier's liability for loss of or damage to the cargo, or for loss or damage caused by the cargo, shall cease when the cargo is interchanged to the CNT.

4. If any party asserts a claim or cause of action against Carrier for loss or damage occurring after the cargo is interchanged to the CNT, the Shipper or the owner of the cargo will defend and indemnify Carrier against any and all such claims or causes of action.

5. Carrier can refuse to use a customer nominated trucker at any time if there are rate(s) or service discrepancies.

6. Shipper shall be responsible for all additional costs and charges incurred by Shipper's election to use a CNT. These additional costs consisting of, but not limited to detention, drop fee, equipment usage, and per diem charges are to be invoiced directly to the Shipper.

7. Consistent with Carrier's proof of delivery requirements, the Shipper's CNT is required to keep hardcopy documentation showing proof of deliveries on hand for a period of two (2) years.

8. Rates will be valid for the term of the contract as provided. Notice for termination of the Agreement at the Shipper's or CNT's request must be provided to the Carrier at least thirty (30) days in advance.

42. COSCO's relevant published tariff of general applicability on demurrage provided clear rules for the assessment of demurrage charges, including the results when a shipper fails to take delivery of the cargo timely.

43. COSCO published tariff rules of general applicability governing equipment free time and detention at U.S. destinations.

44. COSCO's equipment free time and detention tariff rule for U.S. destinations governed the charges that it applied for each day or fraction that the consignee kept possession of COSCO's equipment beyond the allowed free time.

45. During the negotiation of the Service Contracts and at all times thereafter, Third-Party Respondents and SEA were aware or should have been aware that, under the provisions of the Service Contracts, the published tariffs, the sea waybills (or bills of lading), and the CNT

Agreement, they were collectively responsible for any detention/per diem, demurrage, storage, and similar charges (“charges”) incurred by CNTs without fault of COSCO.

46. Neither Third-Party Respondents nor SEA ever informed COSCO that they disagreed with the clear provisions of the Service Contracts, the published tariffs, the sea waybills (or bills of lading), and the CNT Application during the terms of the Service Contracts.

47. The requirement of the Service Contracts, the published tariffs, the sea waybills (or bills of lading), and the CNT Application that Third-Party Respondents and/or SEA assume responsibility for delay charges incurred by their CNTs was part of the quid pro quo for COSCO offering favorable rates and other terms and conditions to Third-Party Respondents under the Service Contracts.

48. COSCO would not have entered into the Service Contracts on the final rates and terms set forth therein had Third-Party Respondents and SEA revealed, rather than concealed, their disagreement with the clear statement of the documents they signed that Third-Party Respondents (shippers) and/or SEA (consignee) would be responsible for delay costs incurred by their CNTs or by SEC’s consignees without fault on the part of COSCO for specific delays.

49. Despite having signed the Service Contracts and otherwise manifesting agreement to be responsible for the delay costs of their CNTs and consignees, SEC, through its subsidiary, agent, affiliate, and consignee SEA, demanded that COSCO not only refund any and all of the charges COSCO had assessed, but also that COSCO waive all charges SEA had not paid. SEA even demanded that COSCO pay charges assessed by third parties without action or fault on behalf of COSCO, and even if the costs resulted from the fault of SEA or its CNT that COSCO had not assessed, all regardless of whether the delays that resulted in the charges were caused by SEA or not.

50. SEA further demanded that COSCO stop assessing demurrage and detention altogether for any store door moves handled by CNTs.

51. By letter dated September 23, 2022, to COSCO (via its North American agent), SEA demanded that COSCO pay SEA charges COSCO had not assessed for delays it did not cause, and refund charges that COSCO had lawfully assessed. SEA's Michael Rapske stated, "...Fees should not have been charged to Samsung for transporting Samsung's containers to the designated inland locations because COSCO was responsible for obtaining all necessary resources therefore under the store-door terms...."

52. Despite COSCO's multiple requests for information about which charges SEA asserted were unlawfully assessed by COSCO and unrelated third parties, to date neither SEA nor SEC has provided information specifying which charges SEC asserts were the responsibility of COSCO because COSCO purportedly caused the delivery delays resulting in the charges. Its only statement on the matter was that COSCO was responsible for the charges, regardless of which entity was at fault, simply because the sea waybill provided for store door delivery. SEA continued after the September 23, 2022 letter to employ intimidation tactics to pressure COSCO into granting unwarranted refunds, waiver, and suspension of proper charges.

53. Third-Party Respondents and SEA have refused to pay COSCO over \$4,200,000 in lawful demurrage and detention charges, rates to which the Contract Signatories agreed to be bound in the Service Contracts.

54. Given the clarity of the terms imposing responsibility on SEC, Samsung SDSAP and Samsung Logitech and their affiliates, Third-Party Respondents' conduct was knowing and willful.

55. Demanding refunds for lawfully assessed charges in bad faith is an unjust or unfair means or device.

56. Refusing to pay lawfully assessed charges in bad faith is an unjust or unfair means or device.

57. Demanding payment from COSCO for costs incurred by Third-Party Respondents due to delays caused by SEA that were assessed by and paid to third parties is an unjust or unfair means or device.

58. SEC obtained or attempted to obtain less than applicable rates through the fraud or concealment as set forth above both at the time of the signing of the Service Contracts and at all times during the terms of the Service Contracts.

59. Through these unjust means or devices, Third-Party Respondents have obtained service from COSCO at less than the otherwise applicable rates, has refused to pay outstanding amounts owed to COSCO by claiming false and bad faith excuses, and has sought to make COSCO pay for charges imposed on SEA by third parties without any fault of COSCO.

60. COSCO's rates for store door delivery did not include payment of charges which were incurred when Third-Party Respondents or their agents were responsible for the delay.

61. Third-Party Respondents' refusals to pay COSCO lawfully assessed charges were not only violations of the 46 U.S.C. § 41102(a), but also contrary to the Federal Maritime Commission's Interpretive Rule, 46 C.F.R. § 545.5 (89 FR 29562)(May 18, 2020) which presumes that shippers (such as SDSAP and SEA) "have complied with their customary obligations, including those involving cargo retrieval."

62. Not only did Third-Party Respondents fail to comply with their “customary responsibilities” as recognized by the FMC, they stood the Incentive Principle on its head by refusing to pay the charges they caused to be incurred.

IV. THIRD-PARTY RESPONDENTS VIOLATED 46 U.S.C. § 41102(a)(1)

63. COSCO repeats and realleges the foregoing allegations.

64. Section 10(a)(1) of the Shipping Act, now codified at 46 U.S.C. § 41102(a)(1), states:

A person may not knowingly and willfully, directly or indirectly, by means of false billing, false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

65. Third-Party Respondents have, with their agents, affiliates, and consignees named above, violated 46 U.S.C. § 41102(a)(1) by:

- a. negotiating and entering into Service Contracts with COSCO that they knew obligated them to bear certain costs associated with store door deliveries;
- b. inducing COSCO to enter into the Service Contracts on the rates, terms, and conditions set forth therein, and to provide services thereunder, concealing their disagreement with the clear terms of the Service Contracts making Samsung responsible for charges associated with inland delivery, then refusing to pay and/or demanding refund of charges for which they were responsible under the Service Contracts.
- c. attempting to obtain the transportation contracted for without paying (either in the first instance or by demanding a refund) the applicable charges that they knew, or should have known, applied under the terms of the Service Contracts.

66. Through such knowing and willful conduct, Third-Party Respondents used this unjust and unfair device or means to obtain or attempt to obtain ocean transportation at less than applicable rates and terms.

67. The intent and intended effect of Third-Party Respondents' actions was for them, together with their agents, affiliates, and consignees, to obtain transportation services from COSCO at rates and charges less than those otherwise applicable under U.S. law and regulation, as reflected in the Service Contracts filed with the Federal Maritime Commission and which incorporated the terms of COSCO's published tariff.

V. INJURY TO THIRD-PARTY COMPLAINANT

68. Third-Party Complainant repeats each of the allegations set forth above.

69. As a result of Third-Party Respondents' violation of 46 U.S.C. § 41102(a)(1), COSCO has suffered actual damages.

70. As a result of Third-Party Respondents' SEA's violation of 46 U.S.C. § 41102(a), COSCO has suffered actual damages of at least \$4,000,000, plus interest and costs, for unpaid, lawful detention charges that Third-Party Respondents have refused to pay and still refuse to pay COSCO.

71. As a result of Third-Party Respondents' violation of 46 U.S.C. § 41102(a), COSCO has suffered additional actual damages amounting to at least \$32,000,000, plus interest and costs, relating to Third-Party Respondents' failure to pay otherwise applicable rates.

VI. REQUEST FOR ORAL HEARING

72. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol Street, NW, Washington, D.C. 20573- 0001.

VII. PRAYER FOR RELIEF

WHEREFORE, Third-Party Complainant respectfully requests that Third-Party Respondents be required to answer the charges in this Complaint, and that, after investigation, the Federal Maritime Commission issue an Order:

A. Declaring that Third-Party Respondents have violated the Shipping Act and the rules of the Federal Maritime Commission and are jointly and severally liable for reparations.

B. Requiring Third-Party Respondents to pay Third-Party Complainant reparations in an amount to be determined at trial, plus interest from the date of the injury, for the unlawful conduct described above;

C. Requiring the payment by Third- Party Respondents of any other amounts that the Federal Maritime Commission deems appropriate;

D. Ordering that Third-Party Respondents cease and desist from the unlawful conduct, including refusing to pay charges lawfully owed to Third Party Complainant and from seeking refunds of charges properly paid to Third-Party Complainant;

E. Providing Third-Party Complainant such other and further relief that the Federal Maritime Commission deems just and proper; and

F. At an appropriate time, awarding Third-Party Complainant reasonable attorneys' fees pursuant to 46 U.S.C. § 41305(e).

DATED: May 12, 2025

Respectfully submitted,

/s/ Rebecca A. Fenneman

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VERIFICATION

I declare under penalty of perjury under the laws of the United States of America that the foregoing Third-Party Complaint is true and correct to the best of my knowledge, information, and belief.

Signed: *Tang Wei*

Name: Tang Wei

Title: Vice General Manager of Global Sales Division, COSCO SHIPPING Lines Co. Ltd.

Date: May 12, 2025

CERTIFICATE OF SERVICE

I certify that on the 12th day of May 2025, a true and correct copy of the foregoing **THIRD PARTY COMPLAINT** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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